Lead Broker Blueprint by Lorenzo Marietti

Module 7 deliverable

Failure-Mode Checklist

Six failure modes and how to defend against each — review monthly

> **How to use this checklist**
>
> Six failure modes from Module 7.6 plus targeted defenses for each. Review monthly. Mark items "OK" if your operation has working defenses in place; "At risk" if you don't.
>
> Most operator post-mortems trace back to two or three of these modes. Catching them early — while they're still cheap to address — is the entire point of the monthly review.

Failure mode 1 — Buyer churn

Buyer relationship ends within 30-90 days; lead quality doesn't match what the buyer's intake operation needs.

Defense checklist (mark ☐ OK or ⚠ At risk)

☐ OK ⚠ At risk LPA qualification specifications are precise (not vague terms like "qualified" without definition).

☐ OK ⚠ At risk Lead delivery is matched to specifications; weekly QA sample confirms match.

☐ OK ⚠ At risk I have a weekly check-in or report cadence with the buyer; surprises are caught early.

☐ OK ⚠ At risk Dispute rate by buyer is tracked and stays within industry-normal ranges (5-20% by lead type).

☐ OK ⚠ At risk Buyer-side feedback is collected and applied: at least one specification adjustment per quarter based on buyer input.

Failure mode 2 — Traffic-cost inflation

CPCs or CPMs rise through the campaign's life; thin starting margins are squeezed.

Defense checklist (mark ☐ OK or ⚠ At risk)

☐ OK ⚠ At risk Starting margins are 30%+ gross; if 15-25%, watch closely; if under 15%, restructure or stop.

☐ OK ⚠ At risk Multiple traffic sources running (don't be dependent on one platform).

☐ OK ⚠ At risk Negative-keyword and exclusion-audience audits quarterly.

☐ OK ⚠ At risk Creative refresh cadence (paid social) per platform's typical fatigue window.

☐ OK ⚠ At risk If LSA is active in vertical, my value proposition extends beyond "we get you leads."

Failure mode 3 — Regulatory shifts

A regulatory change (FCC, FTC, state) shifts what's permissible or required; operators who didn't track regulation get caught.

Defense checklist (mark ☐ OK or ⚠ At risk)

☐ OK ⚠ At risk Quarterly compliance review completed (Module 3 deliverable).

☐ OK ⚠ At risk Subscribed to at least 2 law-firm-published TCPA / FTC update feeds (Klein Moynihan Turco, Eversheds Sutherland, etc.).

☐ OK ⚠ At risk Consent disclosures audited within last 90 days.

☐ OK ⚠ At risk Vendor compliance (TrustedForm, Jornaya configurations) reviewed within last 90 days.

☐ OK ⚠ At risk Counsel relationship established or on-call for vertical-specific questions.

Failure mode 4 — Exclusivity demands

Growing buyer requires exclusivity or wider exclusivity than the seller can sustain inventory-wise.

Defense checklist (mark ☐ OK or ⚠ At risk)

☐ OK ⚠ At risk Inventory volume is monitored against current and contracted demand; headroom > 20% maintained.

☐ OK ⚠ At risk Multiple buyers per vertical (not 60%+ concentration on a single buyer).

☐ OK ⚠ At risk Pricing strategy distinguishes shared from exclusive; able to flex between them.

☐ OK ⚠ At risk If a key buyer asks for tighter exclusivity, I have a written analysis of supply/demand impact before agreeing.

Failure mode 5 — Payment-terms breakdown

Buyer extends payment timing (net 30 → 60 → 90) or disputes invoices aggressively; cash flow breaks.

Defense checklist (mark ☐ OK or ⚠ At risk)

☐ OK ⚠ At risk DSO (days sales outstanding) tracked monthly; trends are visible.

☐ OK ⚠ At risk Working-capital reserve at 30-60 days of operating costs maintained.

☐ OK ⚠ At risk Late-payment policy and interest in every LPA.

☐ OK ⚠ At risk Buyer concentration: no single buyer > 40% of revenue (target).

☐ OK ⚠ At risk Credit-risk diligence on new mid-size and large buyers before signing (D&B / public filings).

Failure mode 6 — Founder burnout

Solo founder runs sales, intake, ops, and compliance personally for too long; quality degrades; relationships drift.

Defense checklist (mark ☐ OK or ⚠ At risk)

☐ OK ⚠ At risk Weekly tracking of hours actually worked vs. planned.

☐ OK ⚠ At risk First VA / intake hire planned for when monthly revenue clears [target] (Module 6.5).

☐ OK ⚠ At risk At least one hour per week scheduled for strategy / not tactical work.

☐ OK ⚠ At risk Vacation taken in the last 90 days, with a defined coverage plan.

☐ OK ⚠ At risk If I dread three or more recurring tasks in the operation, I'm building a path to delegate them.

Monthly review summary

Review date _____

Failure modes currently at risk:

Actions to take this month:

Reviewer signature / initials:

_____

Standing disclosures

This checklist is a research-based aid drawn from operator commentary on failure modes in lead generation. Not legal, financial, or business advice. Apply judgment specific to your operation.